Nimbus Retail Ltd
Annual Report FY2022

Sector: Retail. All figures in US dollars. Fiscal year ends 31 March 2022. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2022 was a year of disciplined execution for Nimbus Retail Ltd. Revenue for FY2022 was $2,400.0 million. Net income for FY2022 was $223.5 million and earnings per share were $2.24. The Board has recommended a dividend of $0.89 per share.

Our strategy for the coming year focuses on expanding the online marketplace, opening 40 small-format stores and investing in supply-chain automation. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2022 was $793.6 million, giving a gross margin of 33.1%. Operating expenses were $439.4 million and operating income was $354.1 million. EBITDA for FY2022 was $492.7 million.

Segment performance: Grocery contributed $654.3 million; Apparel contributed $815.1 million; Online Marketplace contributed $930.6 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $349.2 million. Net cash from operating activities was $400.2 million and capital expenditure was $162.7 million, resulting in free cash flow of $237.5 million. Total current assets were $768.4 million against total current liabilities of $442.0 million.

Total assets were $3,151.7 million, total liabilities were $1,628.5 million and shareholders' equity was $1,523.2 million.

Principal Risks and Uncertainties

• Rising logistics and fuel costs could compress gross margins.

• Intense price competition from discount and online-only retailers.

• Consumer demand is sensitive to inflation and household disposable income.

• Dependence on third-party suppliers for private-label products.

Outlook

For FY2023, management expects revenue growth of 6% to 11%, supported by expanding the online marketplace, opening 40 small-format stores and investing in supply-chain automation. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2022
Revenue	2,400.0
Cost of revenue	1,606.4
Gross profit	793.6
Operating expenses	439.4
Operating income (EBIT)	354.1
Depreciation & amortisation	138.6
EBITDA	492.7
Interest expense	56.1
Tax expense	74.5
Net income	223.5

Consolidated Balance Sheet

Line item ($ million)	FY2022
Cash and cash equivalents	349.2
Total current assets	768.4
Total assets	3,151.7
Total current liabilities	442.0
Long-term debt	1,113.8
Total liabilities	1,628.5
Shareholders' equity	1,523.2

Consolidated Cash Flow Statement

Line item ($ million)	FY2022
Net cash from operating activities	400.2
Capital expenditure	162.7
Free cash flow	237.5